MANAGEMENT BRIEF / OCTOBER 2026 • 01/05

Make everyday operations simpler.

A practical, low-risk evaluation of internal software development at Marindustrial Inc.

THE OPPORTUNITY

Across shipping, inventory, reporting and warehouse work, employees repeatedly gather information, enter data, look for items and correct preventable errors. Targeted software can simplify these tasks while SAP Business One remains Marindustrial's core business system.

WHAT MARINDUSTRIAL STANDS TO GAIN

- **More time for useful work.** Reduce repetitive handling and unnecessary warehouse movement.
- **More reliable operations.** Standardize repeat tasks, validate entries and make issues easier to trace.
- **Better management visibility.** Make recurring reports clearer, more consistent and easier to act on.

FIVE PRACTICAL OPPORTUNITIES

- **Automated Inventory Cycle Counting** — Earlier discrepancy detection
- **Centralized Reporting & BI** — Faster, consistent reporting
- **Automated Batch Shipping** — Less repeated shipment entry
- **Warehouse Slotting Optimization** — Shorter picking routes
- **RF Scanner / Warehouse System** — More traceable warehouse work

THE DECISION REQUESTED: Authorize a controlled 60-day evaluation of one or two pilots—not five full deployments and not a permanent position today.

MANAGEMENT BRIEF / OCTOBER 2026 • 02/05

Where software can remove routine friction

Priority opportunities 01–03. Pilot opportunities, not promised savings.

01 Automated Inventory Cycle Counting

The issue: Year-end counting concentrates staff time and may delay discovery of stock discrepancies.

The approach: Test short, planned ABC counts using provisional 30/90/180-day review cycles, with documented variance checks.

Expected benefit: Less concentrated disruption, earlier error detection and clearer inventory records.

Pilot measure: Counting hours, discrepancy rates and total work compared with the current process.

02 Centralized Reporting & Automated BI

The issue: Employees spend time preparing similar reports, often with inconsistent definitions.

The approach: Automate one recurring report or small dashboard from approved SAP data, with agreed KPIs.

Expected benefit: Less manual preparation, more consistent reporting and quicker visibility into exceptions.

Pilot measure: Preparation time, data accuracy and usefulness to managers.

03 Automated Batch Shipping & SAP Integration

The issue: Creating labels and recording shipments involves repeated entry and checking.

The approach: Test a validated label-and-record workflow with controls for duplicates, failed requests and exceptions.

Expected benefit: Faster repetitive transactions and fewer avoidable entry mistakes.

Pilot measure: Transaction time and exceptions; test the reported 75-second baseline against a 10–15-second target.

MANAGEMENT BRIEF / OCTOBER 2026 • 03/05

Make the warehouse easier to run

Priority opportunities 04–05. Better item placement and practical scanning can complement one another.

04 Warehouse Slotting & Picking Optimization

The issue: Frequently picked parts can be far from the shipping area, increasing walking time.

The approach: Identify physically frequent picks, map travel routes and test a limited, safe relocation of suitable items.

Expected benefit: Less unnecessary travel, more efficient picking and a more practical layout.

Pilot measure: Actual walking distance, picking time and accuracy before and after the pilot.

05 RF Scanner & Warehouse Management System

The issue: Manual lookups and inconsistent handling can slow receiving, picking and counting.

The approach: Test existing scanner prototypes for guided warehouse tasks and verified item/bin records before any SAP posting.

Expected benefit: More consistent processes, improved traceability and fewer manual mistakes.

Pilot measure: Transaction time, scanning accuracy, corrections and staff usability.

SIMPLE EXAMPLE: SLOTTING BY PICK FREQUENCY

PACK / SHIP (dispatch starting point) → **HIGH PICK** (closest suitable bins) → **MEDIUM PICK** (next suitable bins) → **LOW PICK** (further suitable bins).

Placement also depends on size, weight, safe handling and storage requirements. Physical pick frequency—not sales value—drives the initial ranking.

WHY THESE PROJECTS WORK TOGETHER: Inventory accuracy, efficient picking and scanning support the same warehouse outcome. Any shared time savings must be counted only once.

MANAGEMENT BRIEF / OCTOBER 2026 • 04/05

Why evaluate an internal developer?

The benefit is ongoing ownership of operational improvements—not simply five separate tools.

WHAT CHANGES WITH ACCOUNTABLE DEVELOPMENT

A small improvement is useful only if someone can keep it working. Internal development creates a clear owner for identifying problems, building the right solution, testing it safely, training users and maintaining it as Marindustrial's processes evolve.

Identify repeat friction → **Deliver** and test safely → **Support** and maintain → **Improve** through measurement and prioritization.

THREE REASONABLE OPTIONS

Continue manually

Where it works well: No new software commitment; simple processes may not need automation.

Main trade-off: Recurring staff effort and inconsistencies remain.

Buy or outsource

Where it works well: Suitable for established products, specialist integrations and complex needs.

Main trade-off: Licence, customization, support and vendor coordination costs.

Develop internally

Where it works well: Useful for Marindustrial-specific repeat workflows needing ongoing adaptation.

Main trade-off: Requires budgeted development time, safe system access and continuing support.

THE POTENTIAL LONG-TERM PAYOFF

Once a tool proves useful, its design, documentation and lessons can support the next improvement. Successful reporting or warehouse workflows might eventually extend to other branches—but only after confirming local needs, systems and costs.

INVESTMENT DISCIPLINE: Build when the problem is specific and repeated. Buy when an existing product fits. Stop when measured benefits do not justify the cost. Any future developer position should be supported by real pilot results and a sustainable work backlog.

MANAGEMENT BRIEF / OCTOBER 2026 • 05/05

A defined 60-day test. A clear decision.

Management retains control over pilot selection, access, time allocation and whether work continues.

HOW THE EVALUATION WOULD WORK

- **Days 01–15 | Choose + measure:** Select one or two pilots, confirm workflow owner and baseline.
- **Days 16–30 | Build + test:** Stabilize the minimum solution and validate data safely.
- **Days 31–45 | Trial at work:** Compare real before-and-after outcomes, including errors.
- **Days 46–60 | Review + decide:** Assess benefits, cost, ongoing support and next steps.

WHAT COUNTS AS SUCCESS

The pilot will measure time released, error and rework rates, practical usability, adoption and ongoing maintenance effort. Recovered labour time means extra operating capacity, not automatic payroll savings. Management can decide to expand, revise, purchase an external solution or stop.

APPROVAL REQUESTED

- Authorize a 60-day evaluation and agree on a limited development/testing time allocation.
- Select one or two pilot workflows and name a management sponsor.
- Permit appropriate data access and staff participation, subject to IT/SAP policies.
- Schedule a day-60 review before approving further investment or a permanent role.

DAY-60 MANAGEMENT DECISION

Approve additional development only if the evaluation demonstrates a credible operational benefit, acceptable system risk and enough recurring work to support ongoing ownership. No permanent staffing decision is required now.

Status: Management review draft, October 2026. Times and benefits described as targets or test criteria are not verified production improvements.